Kingfa Science & Technology (India) Ltd

Concall-Tracker report | Ticker: KINGFA (NSE / BSE 524019) | Sector: Modified & engineering plastics

Quarter: Q2 2027 (Jul-Sep 2026) · NO-CONCALL web deep-dive path · Information used up to 6 Nov 2026 · Figures in ₹ crore unless stated

1. Snapshot

What the business does: Kingfa India is the Indian arm of China's Kingfa Sci. & Tech. It buys plain plastic granules and "compounds" them, mixing in glass fibre, colours and flame-retardants to make tougher, made-to-order plastics. Car makers, appliance brands, and wire and electronics firms mould these into parts. It earns by selling this upgraded plastic by the tonne.

Q2 FY27 revenue	₹723 cr, up 55% on ₹466 cr - *another record quarter for sales, a bit above June's ₹689 cr.*
Q2 FY27 operating profit	₹59 cr vs ₹61 cr a year ago - *flat, even though sales rose by more than half. Something ate the extra margin.*
Q2 FY27 operating margin	~8% vs ~13% a year ago and ~16% in June - *out of every ₹100 of sales it kept about ₹8 as operating profit, the lowest in at least three years.*
Q2 FY27 net profit	₹47 cr vs ₹41 cr a year ago, ₹80 cr in June - *up about a seventh on the year, helped by ₹14 cr of other income (probably interest on the unspent issue money, though it isn't broken out).*
H1 FY27 (Apr-Sep)	Sales ₹1,412 cr (+52%), net profit ₹127 cr (+57%) - *across the half, profit still kept pace with sales. The weak spot is one quarter.*
Debt	~₹15 cr - *next to nothing.*
Valuation	Market cap ~₹8,040 cr, P/E ~35 - *the market pays about 35 years of current profit, which assumes growth keeps coming.*
Promoter holding	67% (Sep 2026) - *the Chinese parent still owns two-thirds; unchanged.*

2. Concall coverage

No concall transcripts were available on Screener - this report is based on a global web deep-dive. Kingfa India doesn't hold earnings calls. The backstory (FY24 to Q1 FY27) is carried forward from our Q1-2027 report; this quarter we read the September-quarter result and the investor presentation filed on 5 Nov 2026.

Period	Source	Read?
FY24 → Q4 FY26	AGM record, results, filings, media	Carried forward from earlier reports
Q1 FY27 (results 14 Aug 2026)	Results, June-quarter monitoring agency report	Prior boundary (Q1-2027 report)
Q2 FY27 (results 5 Nov 2026) ★	Exchange results filing and investor presentation (via Multibagg, Whalesbook, Sahi summaries), Screener quarterly and balance-sheet tables	Newly read in full

Sources: Screener.in (KINGFA); Multibagg "KINGFA Q2 revenue gains 55%" and "KINGFA H1 revenue rises 52%" (5 Nov 2026); Whalesbook "Kingfa Q2 profit drops to Rs 47 crore"; Sahi Q2 profit note. The September-quarter monitoring agency report on the ₹500 cr issue hadn't been published when this was written.

Latest update highlights - Q2 FY27 (results filed 5 Nov 2026)

- **Sales kept racing.** ₹723 cr, up 55% *- the Bhiwadi plant's second full quarter, and India's car output was up about a fifth in the half, so demand was there.*
- **Margin fell off a cliff.** Operating margin ~8% vs ~16% in June *- costs grew faster than sales (expenses +64% vs sales +55%). The company gave no reason. Press write-ups guess at input costs, but nothing in the filings says so.*
- **Profit down sharply on the quarter.** ₹47 cr vs ₹80 cr in June *- still up on last year, but only because other income rose.*
- **Exports grew.** ₹45 cr vs ₹35 cr a year ago *- still only about 6% of sales.*
- **Tone:** silent. No commentary came with the numbers, and the presentation doesn't explain the margin drop.

Business mix & capacity

Domestic vs export (Q2 FY27): Domestic ~94% / Exports ~6% *- almost entirely an India story.*
Capacity: India's largest compounder, over 110,000 tonnes a year across Manesar, Chakan, Puducherry and Bhiwadi. **Utilization:** not disclosed. Capital work-in-progress fell from ₹61 cr in March to ₹10 cr in September while fixed assets rose ~₹50 cr *- some new equipment was switched on in the half. There's no sign yet that the Chakan Phase 2 building has started.*

Since our last report ★ (builds on the Q1-2027 report, results of 14 Aug 2026)

Prior verdicts: **Trigger YES · Consistency YES**.

Prior read	What we said then	What the new quarter shows	Movement
Trigger	New capacity filling up into Indian demand, already in the numbers	Sales +55%, H1 profit +57%; but Q2 operating profit flat on the year	**On-track, margin wobble**
Consistency	Clean promise-vs-delivery record	No broken promise, but no explanation for the margin halving	**Unchanged, quieter**
Bhiwadi ramp	First full quarter, sales stepped up	Sales up again to a new record	**Improving**
Margin rising	~16% in Q1 FY27	~8% in Q2 FY27, lowest in three years	**Broken (for now)**
Chakan Phase 2 / South India by Jun 2027	₹0 spent on Chakan building in Q1	No new monitoring report yet; nothing filed on progress	**No update**

Verdict change: both unchanged. The growth engine still runs. But the record margin we praised last quarter didn't last, and the company hasn't said why. One quarter isn't a trend; two would be.

3. Earning Trigger thesis

The trigger: new capacity filling up into steady Indian demand

Kingfa's driver is simple: add plants and sell the extra output to Indian car, appliance and electronics makers. It raised ₹500 cr in Sep 2025 for this, and the Bhiwadi plant that started in Feb 2026 pushed sales up by half in both quarters since. The new problem is profit. In June the extra volume came with a record margin; in September the same kind of volume came with almost no extra profit. Until the company explains that, the trigger is a sales story with a question mark on earnings.

Trigger	What the record says	Evidence so far	Horizon	Strength	Change since last report
Bhiwadi plant ramp	Commercial production from 22 Feb 2026	Sales +49% in Q1, +55% in Q2	Now → FY27	**Strong**	unchanged: still delivering volume
Domestic demand	Autos, appliances, electricals	Domestic H1 sales +53%; car output up about a fifth in H1	Ongoing	**Strong**	unchanged
Margin lift	Better mix plus scale	OPM 13% (FY26) → 16% (Q1) → 8% (Q2)	Now	**Weak**	↓ weakening: reversed with no reason given
Chakan Phase 2 + South India	₹187 cr building, ₹42 cr land; funds used by Jun 2027	Nothing new since the June report showed ₹0 on the building	FY28+	**Moderate**	unchanged: no news
EV / green materials	Flame-retardant EV battery plastics	No separate revenue disclosed	Medium term	**Unproven**	unchanged

4. Management Consistency scorecard

Period	What was said / planned	What actually happened	Verdict
FY24 → FY26	Grow volume and profit, lift margins	FY25 sales +17%, profit +25%; FY26 sales +14%, profit +21%	**Delivered**
FY25 capex plan	Raise ₹500 cr; Bhiwadi, Chakan Phase 2, South India	₹500 cr raised Sep 2025; Bhiwadi live Feb 2026	**Delivered**
Q1 FY27	Ramp Bhiwadi	Sales +49%, profit doubled, margin ~16%	**Delivered**
Q2 FY27	Keep growth going	Sales +55%, but margin ~8% and profit down 41% on the quarter	**Partly**
Chakan / South India by Jun 2027	Build Phase 2, buy southern land	No update since June; most of the building money unspent	**Too early / at risk**
Balance sheet	Stay nearly debt-free	Borrowings ~₹15 cr	**Delivered**

Narrative drift: none in the story itself. It's still "biggest compounder in India, add capacity, sell into local demand." The issue this quarter is silence. With no calls and a presentation that only lists the numbers, nobody outside the company knows if the margin drop came from resin prices, a pricing push to fill Bhiwadi, start-up costs, or a one-off. That's been the case all along, but it didn't matter while every quarter improved. Now it does.

5. Bottom line

Durable earning trigger? → YES (vs last quarter: unchanged)

The volume side moved as expected: sales up by half again, and across the half profit grew in line with sales. That's still a working trigger. But the September quarter turned a margin story into a question. If the next quarter shows margin back in the low teens, this was a blip. If it stays near 8%, the extra plastic is being sold too cheaply and the earnings case weakens.

Management consistent? → YES (vs last quarter: unchanged)

Nothing they said has been broken: plants got built, money hasn't been misused, debt stays near zero. The knock is silence. A margin that halves in one quarter deserves a sentence of explanation and didn't get one, and the Chakan expansion has had no visible progress for two quarters. Both are watch items going into the December quarter.

Prepared on information published up to 6 Nov 2026. NO-CONCALL web deep-dive; no Screener transcripts exist for this company. Not investment advice.